The second was H.P. Gibbs, an American who was the chief electrical engineer, Tata Hydro-Electric Works, Bombay, and played a critical role in building Tatas' first hydropower project.

Prominent among those who were not allotted any shares was Framroze Edulji Dinshaw, the managing agent of the group even prior to the constitution of Tata Sons. He had financed the Tatas when they were cash-strapped in an era when raising funds from the infant Indian capital market was difficult. His association with the group continued until his death.

That Dinshaw was not allotted any shares was testimony to the zealousness with which the Tatas strove to prevent shares from falling into the hands of cash-rich individuals who could potentially dilute the family's control over the company. In keeping with this unwritten code, the company shares were generally transferred from one family member to another.

Ratanji died in 1926. Some twelve years later, JRD received 286 ordinary shares that had belonged to his father by way of transfer. Two years later, in 1940, he and his brother, Darab R.D. Tata, similarly received 300 ordinary shares. JRD was, however, uneasy that his father had not equitably distributed the wealth among his children. His sisters particularly were not beneficiaries.

Unhappy with this, in 1956, JRD transferred 134 ordinary and fifty-six preference shares each to his sisters, Lady (Sylla) Petit and Mrs Rodabeh Sawhney. In the same year, he also transferred ninety-seven ordinary shares to his brother Darab. These were made without any consideration and by the end of December 1964, JRD was only left with one ordinary share in his own name. But, to his chagrin, all the shares transferred to his siblings did not remain with them for long.

Contrary to public perception, post-Independence, the members of the Tata family were not very rich and they had very little liquidity, remarks Soonawala. They found the shares a convenient way to raise funds when they fell upon hard times. The other family members did not have the resources to buy the shares when they were put on sale. The Trusts too could not buy them without losing important income tax concessions. Even Tata Sons did not have the money then to buy them.

In 1965, Rodabeh sold eighty-four and forty ordinary shares respectively to Pallonji Shapoorji and his company, Sterling Investment Corporation Private Ltd. This took Pallonji's share in Tata Sons to 4.04 per cent and that